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Presentation in final accounts

In Profit and loss A/c	Amount accrued is added to particular income.
In Balance Sheet	Amount of accrued income is shown on the assets side under current assets.

Tutorial note

1. If accrued income account appears in the trial balance with debit balance, it means that journal entry has been made already for accrued income. Hence, the accrued income account will be shown only in the assets side of balance sheet. No adjustment is necessary in income account as already it would have been adjusted.
2. At the beginning of the next accounting period, the above entry is reversed to bring into account accrued income at the beginning, so that it is reduced from amount of income in the next year.

Example

A business has a fixed deposit of ` 1,00,000 with a bank for 12 months in the accounting period ending 31st March, 2018 @ 9% interest p.a. Interest received during the year was ` 6,750.

In this example, income earned is ` 9,000 (i.e., 1,00,000 × 9%). Income received is ` 6,750. Hence, the income earned but not received, is the accrued interest ie., ` 2,250 (9,000 - 6,750). The adjusting entry is:

Adjusting entry

Date	Particulars	L.F.	Debit `	Credit `
2018 March 31	Accrued interest on fixed deposit A/c Dr. To Interest on fixed deposit A/c (Interest accrued but not received adjusted)		2,250	2,250

In final accounts, it is presented as follows:

Dr. Profit and loss account for the year ended 31st March, 2018 Cr.

Particulars	`	`	Particulars	`	`
			By Interest on fixed deposit	6,750	
			Add: Accrued interest	2,250	9,000

Balance Sheet as on 31st March, 2018

Liabilities	`	Assets	`
		Accrued interest on fixed deposit	2,250